Report to Shareholders
Management's Discussion and Analysis

Financial Overview

Adjusted Operating Earnings declined 4.8% to $20.3 million for the quarter from $21.4 million last year and Adjusted Earnings per Share decreased to $0.55 from $0.60 last year.

Note: *Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income. Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.*

Sales for the first quarter declined 7.6% to $381.9 million compared to $413.1 million last year mainly due to the unfavourable impact of the strengthening of the Canadian dollar on sales denominated in U.S. dollars and British pounds. Excluding the impact of currency, sales declined 4.1% due to lower volume in the North American and U.K. frozen bakeries.

Lower Adjusted Operating Earnings mainly resulted from the decline in sales volume in the Frozen Bakery segment, partly offset by improved earnings in the Fresh Bakery segment.

Net earnings declined to $12.7 million ($0.50 per share) compared to $14.9 million ($0.59 per share) last year. Adjusted EPS declined to $0.55 from $0.60 in the prior year.

Following is a reconciliation of Basic EPS to Adjusted EPS:

	First Quarter	
	2010	2009
Basic EPS	**$ 0.50**	$ 0.59
Restructuring and other related costs [(i)]	**0.05**	0.02
Adjusted EPS [(ii)]	**$ 0.55**	$ 0.60 [(iii)]

(i) *Includes impact of restructuring and other related costs, net of tax.*

(ii) *Not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.*

(iii) *Does not add due to rounding.*

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

	First Quarter	
($ thousands)	**2010**	2009
Fresh Bakery	**$ 20,691**	$ 12,818
Frozen Bakery	**(367)**	8,532
Adjusted Operating Earnings	**$ 20,324**	$ 21,350

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales in the quarter declined slightly to $257.2 million from $263.0 million last year, mostly due to lower sales in the fresh sandwich business and increased trade investment.

Adjusted Operating Earnings in the quarter increased to $20.7 million from $12.8 million as margins were restored to normal levels. Improved performance in the fresh bakery and

pasta operations were partly offset by the sales decline in the fresh sandwich business and increased investment in promotional activities in the quarter.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.

Frozen Bakery sales for the quarter declined to $124.7 million from $150.1 million last year, driven by the unfavourable impact of a stronger Canadian dollar on the Company's sales in the U.K. and U.S. Excluding the impact of currency, sales declined 7.5% due to lower volume in both the North American and U.K. frozen bakery businesses. In North America, lower sales volumes resulted from changes implemented by certain retail customers. The Company expects the impact to be transitory as new business is gradually being secured to recover this volume. In the U.K., sales volume continued to be impacted by depressed specialty and premium categories due to a trade down in consumers' purchases to staple products and less promotional activity compared to the prior year.

Adjusted Operating Earnings in the quarter were a loss of $0.4 million compared to earnings of $8.5 million last year. The decline in earnings mostly reflected reduced sales volume in both the North American frozen and U.K. bakery businesses. Management is making changes to the cost base of the U.K. business until volumes improve.

Gross Margin

Gross margin decreased to $75.1 million from $75.9 million last year. As a percentage of sales, gross margin increased to 19.7% in the quarter compared to 18.4% last year. Margin rate expanded to normal levels in Fresh Bakery but was partly offset by margin rate compression in the Frozen Bakery segment as a result of sales volume erosion and the related impact on manufacturing overheads.

Selling, General and Administrative Expenses

Selling, general and administrative expenses were $54.8 million, largely consistent with last year. Due to the decline in sales, selling, general and administrative expenses represented 14.3% of sales compared to 13.2% in the prior year.

Restructuring and Other Related Costs

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after-tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business. The balance of the charges related to severances in the U.K. resulting from restructuring in the Company's specialty baked goods production process.

During the first quarter of 2009, the Company recorded a charge for restructuring and other related costs of $0.6 million ($0.4 million after-tax) related to ongoing costs of the closure and decommissioning of a bagel facility in Toronto, Ontario, and a small bakery operation in the U.K.

Other Income

Other income was not significant in the quarter compared to other income of $1.8 million last year. Other income received last year was primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at a U.K. bakery in 2008.

Interest Expense

Interest expense for the first quarter decreased to $1.0 million compared to $1.5 million last year, primarily due to lower average debt balances. During the second quarter of 2009, the Company settled its obligation under two interest rate swaps with Maple Leaf Foods Inc. for $8.5 million. The cumulative hedging loss on the swap which has been deferred in other comprehensive income is being amortized to interest expense over the next four years.

Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 27.9% (2009: 29.3%) and taxes recovered on restructuring and other related costs at a rate of 25.5% (2009: 30.5%). The lower tax rate related to ongoing earnings is due primarily to lower federal and provincial statutory tax rates.

Cash Flow and Financing

Cash balances, net of debt, were $60.0 million at the end of the first quarter, compared to $50.9 million as at December 31, 2009 and debt, net of cash balances of $11.8 million at the end of the first quarter of 2009. The improvement during the quarter was principally due to higher cash flow from operations, partially offset by investment in working capital and property and equipment.

Cash Flow From Operating Activities

Cash inflows from operating activities increased to $17.4 million for the first quarter compared to $7.1 million in the prior year period, as a result of reduced investment in working capital compared to the same period last year.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $1.8 million for the first quarter compared to an inflow of $7.7 million in the prior year period as long-term debt was repaid in 2010 compared to increased borrowing in the same period last year.

As at March 31, 2010, the Company and its subsidiaries had available undrawn credit of $270.5 million under the terms of its banking arrangements and available cash of $68.5 million. The Company's principal facility is subject to certain financial covenants. As at March 31, 2010, the Company was in compliance with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and existing credit facilities. Management is of the opinion that operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $6.8 million for the first quarter compared to an outflow of $15.7 million in the prior year period, as a result of lower capital expenditures.

Capital expenditures on plant and equipment for the first quarter were $7.6 million compared to $14.8 million last year. In January, the Company announced its plan to build a new scale fresh bakery plant in southwestern Ontario. The new plant will replace three existing older and smaller facilities located in that region. In mid-2011, the new plant is expected to commence operations and one existing plant is expected to be closed. A three-year transition is anticipated. The total capital investment of approximately $100 million

includes land, building and equipment. In addition, the Company expects to incur restructuring costs totalling approximately $25 million, which includes $5 million in non-cash items. These costs include asset decommissioning and severances, and will be recorded in the Company's financial statements over the next three years.

Credit Risk

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. This allowance is based on specific losses estimated on individually significant exposures. Based on the above assumptions, as at March 31, 2010, the Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter
Sales	**2010**	**$ 381,932**			
	2009	413,125	$ 435,918	$ 424,555	$ 432,190
	2008	382,869	437,418	443,086	444,957
Net earnings	**2010**	**$ 12,727**			
	2009	14,882	$ 22,537	$ 25,050	$ 15,009
	2008	12,211	6,538	19,727	26,460
Earnings per share					
Basic and diluted	**2010**	**$ 0.50**			
	2009	0.59	$ 0.89	$ 0.99	$ 0.59
	2008	0.48	0.26	0.77	1.04
Adjusted EPS (i)	**2010**	**$ 0.55**			
	2009	0.60	$ 0.89	$ 1.00	$ 0.70
	2008	0.52	0.30	0.93	1.13

(i) *Basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.*

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Disclosure Controls and Internal Control over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the first quarter of 2010 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). While IFRS uses a conceptual framework similar to Canadian GAAP, there are significant differences in accounting policies that must be evaluated. IFRS will also require more disclosures than Canadian GAAP. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS, including comparative data for 2010.

In order to meet the requirement of transition to IFRS, in 2008 the Company established an enterprise-wide project team and project plan. The project philosophy is to align with current accounting practices and policies, where possible, to minimize the impact of any changes to the business. Regular reporting of the progress on the IFRS conversion project is provided to senior management and the Audit Committee of the Board of Directors.

The Company's IFRS conversion project plan is comprised of three main phases: initial diagnostic assessment, design, and implementation. The Company has completed the initial assessment phase of the plan and has identified and documented the key accounting and disclosure differences between Canadian GAAP and IFRS. A summary of the key accounting differences and IFRS 1 elections was provided in the Company's annual MD&A for the year ended December 31, 2009, as well as policy alternatives under IFRS, including certain exemptions and elections available on transition under IFRS 1.

The Company is currently finalizing the processes necessary for the implementation of IFRS including the drafting of anticipated financial statement format and note disclosures. In the second quarter, the IFRS-related processes will be implemented and IFRS training will commence with key employees impacted by the changes.

Other Matters

On April 28, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on July 2, 2010 to shareholders of record at the close of business on June 5, 2010. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning the impact of the economic downturn on the Company's results, expectations regarding earnings potential in the fresh sandwich business, expectations regarding actions to reduce costs, restore volumes and/or increase prices, the impact of recently adopted accounting pronouncements and the potential impact of the adoption of IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These

assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by the adoption of the International Financial Reporting Standards;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2009 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

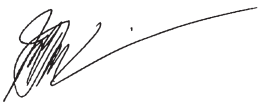
Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,000 people at its operations across North America and in the U.K.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
April 28, 2010